SECTION II: INTERVIEWS

CHRISTOPHER J. AILMAN

Chief Investment Officer, California State Teachers' Retirement System (CalSTRS)

Chris, thank you so much for taking the time to speak with me today. Can we start with a brief review of your background?

I've been the chief investment officer for the California State Teachers' Retirement System for 13 years now. The retirement fund is about $170 billion in size. We are the second-largest defined benefit plan in the United States [and] the largest teachers' plan, and we cover about 850,000 public schools and community college teachers in California.

I have been a public fund CIO for about 28 years. My very first start in public service was with the county of Sacramento, where I was CIO for both the county and the employee retirement system. Then, I went up to the state of Washington and managed its pension plan for four years and then came to CalSTRS. My original start was really on Wall Street with a regional brokerage firm. I started with Dean Witter and Dean Witter Reynolds and then went to work for Kidder, Peabody & Co., mostly managing not just high net worth but also its retirement fund for doctors, Keoghs, 403(b)s, and those types of plans.

My education background: My undergraduate degree is from the University of California, Santa Barbara. I was a business economics major, with basically an emphasis in accounting, but I wanted to join the Big 8s and get into management accounting. Most of the opportunities were in auditing, which is not very interesting. And the field of financial management was

Chris Ailman is the chief investment officer (CIO) of the second-largest pension fund in the United States, the California State Teachers' Retirement System (CalSTRS). He joined CalSTRS in 2000 and has more than 25 years of institutional investment management experience. In 2000, Mr. Ailman received the CIO of the Year–IFE Leadership Award. In 2003, his state CIO peers awarded him the Richard Stoddard Award for service in the investment of pension funds. In 2011, he received *Institutional Investor*'s Large Public Fund Manager of the Year Award, and in 2013, he was ranked third in the Power 100 CIOs from *aiCIO* magazine. Also in 2013, Mr. Ailman earned the CFA Institute Investment Foundations certificate (formerly the Claritas Investment Certificate).

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really starting to take off in the early 1980s. It's interesting: There was only one investment class offered back when I went to college. And it was mostly just a financial analyst class.

So, I started with Dean Witter. At that point, the CFA Program was just starting, but so were CFPs—Certified Financial Planners—so I pursued that avenue and became a CFP in 1984. I used that to help me focus on retirement asset management. And, as I said, I went to Kidder, Peabody, and then shifted over to do public service. I thought I would stay for maybe just five years, but I found it an interesting challenge, and I enjoyed staying in it.

Did you plan your career in that fashion?

Interesting question. Yes, I did from a young age. I didn't think about this particular career because it didn't even exist. There weren't even CIOs when I started in the business. Actually, way back in my youth, I thought I would be an oceanographer. But then I learned to be a private pilot at age 16, and so I was very interested in being a commercial pilot. During college, I went around interviewing and talking to commercial pilots about their lifestyle, their family situation, what kind of a career path it was. And I realized very early on that most of them had broken families; they loved their job but had very difficult personal lives. And I wanted to find a work–life balance. That was very important to me.

So, going to college, I found that I had an aptitude and appetite for accounting and business and enjoyed that immensely. I had a first-year professor who lit a fire under me in terms of macro- and microeconomics, so I stayed in that.

I interviewed with most of the Big 8s—back then, there were eight—and I thought I would head in that type of a direction. And interestingly, when I was a junior, there weren't as many internships as there are now. But when I was a junior in college, I really started looking at where I wanted to live.

There were a number of career opportunities. You have to realize, obviously, that coming out of the 1970s and coming off the oil embargo and really starting to move into more of an economic boom, no one knew what was going to come of the Reagan era. But for me, it was more of a lifestyle decision than a career path. I knew I wanted to live on the West Coast. I knew I wanted to live fairly close to the ocean, so that meant a series of different marketplaces and different opportunities. I started with Dean Witter because I was very interested in the financial planning side of it, but Dean Witter also had not just a retail but a West Coast orientation, which came from the firm's original days in San Francisco.

So, from that standpoint, yes, it was somewhat planned; the move into public funds or into managing pension plans, not at all. CalSTRS didn't even have a CIO back then. Until five years after I was out of college, these positions didn't even exist. In our industry (public

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pensions as institutional investors), the prudent person standard was not put in place until 1982. Prior to that, funds were on legal lists, and investing for a public plan was no more than checking a box. The corporate industry was really just taking off because ERISA was put into place in 1974.

And so, your move into the public plan area was driven by your desire to have a work–life balance?

Yes. You know what is interesting? The brokerage firms at that time were going through a lot of transition. I was working for Kidder, Peabody; I found I didn't enjoy the sell side as much and having to survive month to month on commissions. I was starting a family, so I was more interested in a stable, salary-based job with upside opportunities. So, that is why I chose to go to public service. I thought, "It's public service. I'll do it for five years; then, I'll come out and do investment banking or something like that." And to my surprise, I found I enjoyed it, mostly because on the investment buy side, there was such a variety of assets. I remember the first day coming to work and being handed a short-term cash portfolio on old computer paper; as I flipped through it, I realized this was a $360 million portfolio. It wasn't clear throughout the interviewing process at all that they had that much cash. I wouldn't have thought that a small municipality would have that much cash. But it was bond proceeds, cash. And so, my first reaction was that was pretty cool. Because I had been managing barely a couple of million dollars in assets for high net worth, it was quite a dramatic change.

Do you think that, with the benefit of hindsight and your career experiences, there is any advantage in planning a career these days, or do you think it becomes more of a handicap?

No, I think I am a planner by nature, so I think it absolutely makes sense to have a plan. And you can certainly see in certain careers that you do need to plan ahead because you need to go to the right undergrad and graduate schools, and you need to have the right summer internships in order to even be in line to get that. At the same time, while you are planning, people have to be open and flexible because there are probably careers and entire industries that will exist 10 years from now that we can't even properly see or pursue today. You have to realize my college computer class used punch cards, learning BASIC and Fortran; we knew the PC was coming, but no one had one. So, it's kind of amazing to me to see that technological change from analog to digital, and we may view the same revolution in technology in any number of areas.

So, although I think it's important to plan and have a general strategy, you have to be open and flexible to opportunities that present themselves just like that. I normally would have never seen myself in public service. No one in my family has worked in public service, other

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than now my sister and me. It was never in my thoughts. I was always with the private sector, in the corporate environment.

You seem to be pretty aware of your values and your lifestyle preferences and so on. Were you ever in a situation where there was a conflict between your job, corporate culture, and your values?

I'm glad you asked that question. Very early on, one of the things I've been a big believer in is investing in yourself with training—taking advantage of training opportunities. Very early on at Dean Witter, I attended a seminar where the person challenged the group and asked, "What do you stand for?" And I thought and couldn't come up with an answer. Then, his question was, "What does Superman stand for?" A crowd of 500 rattled off, "Truth, justice, and the American way." And he said, "Great. You should be able to rattle off the top three things you stand for just as quickly. You should have it memorized, and in that way, you can gauge any decision, any opportunity, through that. If these are my priorities, does this match them?"

As a mid-20-year-old, I was really challenged by that, and I took it to heart. Ever since then, I've kept that in mind. I make my career decisions based on that. That's when I realized that work–life balance was important to me. It was important to have a family and participate and not devote myself just to a career.

So, what are the three things that define you?

Actually, there are four things. I'm a Christian, I'm a husband, I'm a father, and I'm a chief investment officer. And it's in that order. I almost didn't get this job, frankly. I had heard ahead of time, and I knew it was down to three people. I'm an investment guy; I do my due diligence. And I knew that I was going to be asked what I stood for. I thought, "Great, I know the answer to that." I have the question cold. I figured the other people would probably sort of stumble and think. I could just rattle it off just like that. Some people on the board were quite taken aback by the fact that I said my faith first. But I learned a long time ago that that is what I stand for. If I get persecuted for that, bring it on; that's fine. But that is who I am. I'm not going to change who I am to fit a job.

I wanted them to know that if it came down to a decision between something for the chief investment officer and something for my wife or my children, my family was going to come first. If I didn't get the job, that would have been fine because I was happy where I was at the time. But I think that helps. Knowing what defined me helped me make decisions like that. There have been career opportunities that have come up clearly in a private sector that would have been much more demanding, particularly with travel, being away from home a

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lot more, better money, but no control of my time and my life, and I made the decision that that was not where I wanted to go.

Are you passionate about your job?

I would say yes, very much so. What's hard now is, like anybody, once you pass 10 years on a job, a lot feels very common. Some parts are frankly rote, and it takes a little motivation to deal with that. I think what's interesting, as we were discussing, is that these markets in the decades of the 2000s and the 2010s are so challenging. They are truly global in nature, which is the difference from the 1980s and 1990s. You cared about international investing, but, clearly, correlations were at 0.7 or lower between the United States and other markets. Now, we are at 0.8 or 0.9, and there is the feeling that they are very tightly correlated, night to night, day to day. And there's just the enormous size of the problem. Because we went all the way back in our asset allocation work to 1926, we were modeling, and knew, that a depression could happen, hopefully only once every 100 years. We also knew that you could have an attack on US soil, hopefully only once every 100 years. We knew those things could happen, but we never expected it. Those two events occurring within basically six to seven years of each other, in the same decade, is what is so staggering and so challenging.

So, when I think about being passionate about my job, it's the fact that it's so dynamic, so personally challenging, but then also so rewarding. It may be a cliché to people, but we do know public school teachers. I run into them all the time and know that we are managing their money, and there is an awesome sense when you are running other people's money of that responsibility. They don't know you, but they are hoping and holding you up to that, and the markets present such a unique challenge every day.

That probably is what helps you get through the routine that becomes fairly consistent.

Are you more passionate today about investing than you were 20 years ago?

I guess I would say I am the same. You had better think about how the markets have changed from 20 years ago. There wasn't a derivatives market. Puts and calls were quite fascinating and new and exotic instruments. There wasn't a credit default swap (CDS) market. It was always interesting to note the number of products Wall Street would create, and I think the fact that our world is constantly evolving and changing is stimulating. That interest in learning and being challenged was true back then and is still true today, just in different ways.

When you started your career, were you passionate about investing?

I always enjoyed the idea of Wall Street and capital markets. By far, the most humbling lesson to me was early in my career, where we were all pitched the idea that a new IPO was

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going to follow the same industry pattern that other IPOs had followed, and it didn't. I lost a lot of people's money—friends', family members'. I often say to myself, "Losing your own money hurts, but there is nothing worse than losing other people's money." That becomes such an enormous challenge, and I would say that the passion changes because the industry has changed. But I think that is what has kept me in long-term investing and pension investing. As I often say, I like being on the buy side. I like the challenge. Long-term planning and long-term investing fit my nature.

Is your passion one of the reasons you are so successful?

I would think it has to be. I look at successful coaches in terms of leadership roles. I particularly look at successful coaches with sports teams. Some coaches take a very talented group and make them work together and rise to the occasion, and then other coaches, managing very similar talent, don't seem to be able to make it or put it together. I like studying their styles, their habits, and I would say passion for what they are doing definitely has to be part of it. You have to have enthusiasm and some interest in what you are doing. If you are not interested in what you are doing, you have to quit and find something else.

What is it about passion that helps one succeed?

I think passion equals motivation. It's the positive side. You can be motivated by a lot of different things, but passion is a positive form of motivation.

Has passion helped you to become more creative?

Yes. But I think our business tends to draw competitive people, and I'm somewhat competitive, so that creativity comes from learning from other people and seeing somebody else trying something and wanting to try to figure out how to do it better or differently. When I think back on college—and my daughters are in college now—one of the things I tell my children is to take a variety of classes. My point is that undergrad is just to learn—not learn your trade, but to learn. You can go to a graduate school to learn a trade, and even then, companies are going to really want to teach you to do it their way. Take a variety of classes because you may find that your passion really is in some completely different area. Unless you study and find out what lights the fire for you, you are not going to know.

Taking a Myers–Briggs test or some other test isn't going to give you that idea exactly. There are so many facets even within any industry—there are the quantitative roles, introverted quantitative roles, outgoing qualitative roles—so finding your passion does absolutely help people succeed if they are interested in that field and find it enjoyable. Passion helps propel them along.

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What other factors do you attribute your success to?

When I look back over my career, I would say one of the definite advantages was working at a smaller shop, whereas normally, I would probably be drawn to a bigger entity. I got the opportunity to work at some smaller places where you had to wear multiple hats. From my perspective, I'm a big fan of learning about a lot of different disciplines so that you can figure out what appeals to you. Do you like being a generalist, or do you want to be a specialist?

When I first started working on Wall Street, I enjoyed building bond portfolios, building retirement fund portfolios, and helping people put together a charitable donation trust. It helped me discover that tracking equity markets or bond markets was interesting to me, but planning was something that was much more interesting to me—building something rather than just trying to make a gain on a particular thing.

But then, working my first job in public service for the county, I ran a short-term cash portfolio; I ran an intermediate bond portfolio. I had helped them with the issuance of municipal bonds, so I was active on the bond side. We ended up using options and swaps on the debt balance sheet of the county, but I was also the chief investment officer for the retirement system. Because there were only two of us in the shop running a $3 billion retirement fund portfolio, I had to be an expert in all the different asset classes, which weren't as varied back then. On top of that, I was running the fund contribution program, picking the various options, structuring an employee benefit plan, trying to figure out the most marketable options and which were the best ones for employees, and then actually going to the employees' locations and answering questions and helping guide people with financial planning.

So, by wearing multiple hats, I gained a little bit of exposure to everything. I wouldn't just say a little bit of knowledge; it was pretty in-depth in each of those respective areas. Then that helped me open doors to what I wanted to pursue after that because I realized after my initial years, I needed to specialize in a particular area.

How would you characterize your management style and your leadership style?

I separate leadership and management as two different functions and two different tasks. I would say my management style—which I learned not from reading books or from classes—was picked up a little bit in training here or there but also from modeling other people and learning from other managers whom I liked working for and whom other people liked working for. The biggest lesson I picked up—and I teach this to my staff—is flexibility as a manager. Don't manage people out of your style. You actually have to go the extra step to manage people in the way that they are best managed. In that area, I'll use a sports analogy. If you think of a sports team, some people have to be yelled at to get their attention and to get them to pay attention; other people, you put an arm around them and you coach them.

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The one thing that I did learn in the training path was the one-minute manager theory, in which there are four different styles: a director, where you are telling somebody A, B, and C; a coach, where you are working and watching them, supervising them doing one, two, and three; a true coach, where you are letting them do it and giving them advice; and finally, a mentor, where you are just there to answer their questions.

It's important to realize that the same person can be in different stages with different facets of a job and to be flexible enough to know that. Particularly being the chief investment officer, I definitely see that. The challenge with that in all the different plans where I have worked is that, for some reason, the fixed-income staff tends to draw certain personality types to it. Those people are generally better coached by putting my arm around them, talking to them. They'll solve the problem before I get there.

For whatever reason, the real estate industry tends to draw much stronger competitive and combative personalities. Wherever I've been, with my real estate staff, I generally have to yell at them like I'm a football coach. That is not my style. I don't enjoy doing it. I'm drained afterward. The best example I can give you is a meeting I did on Monday where I had to create a little tension in the group. I knew that. My fixed-income person said afterward, "Wow, that was a real tough meeting; they wanted to hide in their offices the rest of the day." And my real estate staff said, "Wow, I guess you really wanted to make a point there, huh?"

I thought, "Well, there's a spectrum I have to reach." This is a long-winded answer, but it's important to be flexible enough as a manager to work with your people at the different stages of their skill set and then know how they want to be reached. It's very hard to do because it's different from how you like to manage, from your comfort style.

Leadership is definitely something I've gotten from reading books like crazy. *Lincoln on Leadership*, by Donald T. Phillips, is definitely one of my absolute favorites. I also like looking at different people and looking at how they model the role. Clearly, as you move up into the top of an organization, leadership becomes absolutely critical. I've looked at successful corporate CEOs, political leaders, and sports figures, and there's no one individual model. But in the money management business, what's clear is the leader's role to define the culture of his or her organization or help mold the culture and help sustain the culture. I'm a firm believer that the culture does produce alpha.

When we've looked back at money managers who have produced alpha and then lost it, it's very easy to see the reason when it's a personnel change or a philosophy change, but the subtle changes that are the most dramatic or most catastrophic are when there is a change in culture—when the manager goes from being a good active stock picker to suddenly talking about his or her own personal wealth. You can't pick that up out of a quick meeting; you can't

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pick that up even on a short off-site visit. Culture is very subtle, but it is absolutely linked to alpha, and I think that is the leader's role—to define the culture and help sustain it.

When you approached employment opportunities or were reviewing employment opportunities, how did you ensure that there was a fit between your values and the corporate culture?

The nature of the investment business is to do your due diligence. We're constantly preaching that to each other. And I have to say, when I look at some of my peers—chief investment officers at public, corporate, private, and endowment funds—I'm often fascinated that they seem not to have done their homework, and then they seem rather shocked at how the entity is managed and what the culture is like when they get there. I think that is rather unusual.

I tried to learn as much as I could and do full due diligence about the entity, how it was structured and how it was run, and know what ideas I had before I was interviewed about how I would do it differently. But as well as doing all of that good old qualitative analysis and fundamental analysis, also talk to all the people around the industry about the organization's reputation, culture, public perception, strengths, and weaknesses. I think back on my interview here, and I remember two board members. I told them things that their own CIO had not told them, and they were shocked that I knew it. I had a little book with a couple hundred pages in it, and I flipped it open and said, "It's right here, from your website." It wasn't like it was confidential.

I guess they were pretty surprised that I had done that much studying. It wasn't that hard. Even with the young people we interview today, it really jumps out whether they did their homework on us and understand us versus the people who only understand the initials and what they stand for and roughly a little bit about the organization. Companies put so much out there on the web; it's very easy to do a deep dive, but picking up the culture is where you have to get feedback from outside people.

So, when you are interviewing a candidate, fit with the job is obviously important, but how important is the cultural fit?

First, let me lament: I don't think the interview process is one of our strengths. It is a problem of being a money manager in a public fund environment. We're locked into the interview structure of government, which I don't think is very efficient at all. There are some money manager organizations I know that will interview people as many as 15–20 times—one claims they have 40 touch points—before they will hire them. We try, in a short interview, to understand what the person is looking for and to explain a lot about us so that they understand if we are really a fit for them.

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Even when I interview, I will use a team, including people who aren't experts in that particular field but who I think are highly intuitive people. I don't even have them ask questions but just have them observe the candidate and get a feeling for if they were comfortable, if they were a good fit or not. So, I do believe in intuition. I don't have very much intuition, according to the tests I've taken, and I believe that, so I will get people around me who are highly intuitive and get them involved in the interview process.

You don't usually just buy a car without ever even getting in it. You want to test drive it. I think the internships give you a chance to observe somebody, to see if they fit into the culture and to see if there's a good fit with their skills. We're handicapped in different ways because we're trapped inside the body of a governmental entity. When you look at an investment management organization, I often say that the most important asset is not the money; it's the people. And for us, it's people who walk in and out of the door every day here, not the $175 billion. So, that decision to hire someone or to encourage someone to leave is 10 times more important to me than a particular limited partnership, real estate transaction, or private equity transaction. We should apply the same diligence to that hiring decision that we apply to our investment decision.

I hear you turned down a great opportunity once.

It's an interesting story and a helpful life lesson. There was one time when I was in an interview process for a very high-level position, a great opportunity. I knew I was one of the three finalists. I was honored to get to the finals, but I was doing my due diligence on them, and I had questions. But then I sought advice, and I think that fits in when you look at career planning. It really helps to have somebody who is an adviser, a confidant, a friend in some way to bounce issues off of because you are not objective; you are in the middle of making a decision about your career. Find somebody who is older than you, more mature, and maybe more experienced in their particular field (it doesn't have to be your field), but then find somebody who is a peer alongside of you that you can bounce ideas off.

In this particular example, I was uncertain. I bounced my concerns off the other person, and they said, "I have one word for you: roadkill." I said, "What do you mean?" They said, "You are going to be roadkill, and you won't even know it."

And so I thought about it for a night. I called the CEO and said, "You know, I hate to do this to you, but I'm going to back out before the final interview. Hopefully, you have somebody you can replace me with." And his comment to me was, "I'm really sorry to hear that. I really would have hoped you would have been willing to join me in the battle." And boy, that hit me like a ton of bricks. I said, "But it's not supposed to be a battle; it's supposed to be a partnership." That CEO lasted maybe another two years before he left. They have been through five people in that position I interviewed for.

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So, I look back and think, "Wow, I really dodged the lucky bullet there." I had some suspicion, but by bouncing it off a friend, it just was absolutely black and white, whereas my thoughts were all gray.

So, is asking a lot of questions in an interview important? What about figuring out whether a prospective manager could be your potential mentor?

Even when I interview someone for an asset class director position, which is a very high-level position, what surprises me again is that as investment people, they are not asking me enough questions. If they are going to work for me, they should ask, "What's your management style? What's your reputation? What's your background?" I would always encourage people in an interview that you can't exactly make it a full two-way street, but I would definitely have a list of questions to ask people interviewing you when they are done. In an interview, they will inevitably say at the end, "Do you have any questions for us?" And you say, "Yes, can I take 20 minutes because I've got some questions?" I think that just shows them that you are diligent, and especially in our business, that's absolutely critical.

When I look at the people we have interviewed lately, they have to figure out whether the position is a good fit for them, but they don't know right away whether that boss or supervisor is going to be a good mentor. I think that it behooves people to pick mentors, even as early as college. Pick someone who is a professor or a friend or a family friend in the industry; pick somebody outside your immediate family. But I think your mentor could also be someone outside of the industry. That will help you in the early stages.

As you are maturing in your career path within an industry, I think it helps to have a mentor—not necessarily your boss—because you might want to ask somebody, "Should I be taking this advancement or this job?" And your boss may not be the right person. What I have constantly encouraged people to do is find somebody at a level or two above you, take them out to lunch, and ask them if you can sit down and talk to them. Get to know them and build that rapport. Also, find somebody who is a peer of yours who has the same ideals and objectives, maybe in the same industry, but could even be a different company. You need those reference points to help you figure out where you are going and how you are going to steer your ship.

This week, we're doing our annual evaluations, and I've been challenging our asset class directors to find one or two people to mentor this year. When you look at my staff—and I think a big chunk of our industry—the vast majority of senior people are from the Baby Boomers generation. We're all born within a 10–15 year window. When I look at my staff, that's absolutely true, and even when I look at my portfolio managers a level down, that's very true. So, where is the youth that's going to come up and fill that gap? When I challenge my asset class directors to think back in their careers, there was somebody who brought them

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to a meeting they necessarily didn't need to be at or took them on a due diligence trip, just so they could experience that and walk through it with them. I think we need to build down into people's lives so that they are ready to continue to grow.

I was struck by Myra Drucker, who is a very famous CIO for a couple of different corporations. I believe there are more than five different CIOs of other corporate funds or endowments that were her deputies at one point. That tells me she really grew those people and developed those people. I was very struck by that, and it challenged me to think, "What are we doing here? What have we done to build those people up?"

We do believe that if somebody leaves CalSTRS, that's fine; they are alumni for life. We just want them to succeed. I'd love to find that 5–10 years from now, there were CalSTRS alumni that were CIOs of a bunch of different funds or asset managers. That would be awesome because it would mean that we developed the people who were here.

Would that be your notion of having been a successful manager?

That and the investment return. The bottom line: It always comes back to the return.

Chris, you seem to be unusually self-aware. Typically, other people have a better understanding of us than we do. How did that happen? Did you make an explicit effort to self-explore, or are you just wired that way?

It might be that I'm just wired that way. I think that is something my father and mother built into me. I'm one of three children, but as with the nature of children, we've all had successful careers in completely different fields. None of us followed in my father's footsteps. I developed through my life experiences and being around other people and constantly trying to define exactly what my skills are. I've always had a very high interest in Myers–Briggs, the personality test. I thoroughly enjoyed taking those tests because your result changes over time, and it makes you more aware of your strengths and weaknesses. OK, I can change it or I can't, but it's good to at least know that and be able to work with it.

What are some mistakes that people make when they manage their careers? What are some mistakes that professionals should avoid?

I think the number one mistake, as I've said before, is not doing their homework, not doing their due diligence on a company or the industry, not looking at all at the different options by seeking out advice from other people. It's sad but true. I cannot think of the last time someone knocked at my door and said, "Hey, can you just talk to me about what the career life in public pensions is like, or is it better in another?" When somebody is at this level in

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an organization, you do have perspective on lots of different industries, but very few people seek it out to get that kind of advice.

We have a lot of student interns and summer interns, even from Ivy League schools, and I generally meet with all of them. One of the things I tell them is, "You have a fantastic open library of a hundred people here that are experts in all their different fields. Walk up and ask them for five minutes to talk to you about what they do. What is your career? What did it take? How did you get here? Do you like what you do?" One out of probably more than a hundred can manage that, and that just amazes me. So, early on in a career, take advantage of opportunities to talk to people. People like to talk about what they do.

When I think back on my experience, I would be an airline pilot if I had not gone out and met different pilots and knew what was important to me and realized, wow, a lot of industries have really clear lifestyles associated with them and there are a lot of parts within those industries. It's not just an industry; it's a career path. So, do the due diligence to figure out who the successful people are, what it took for them to get there, and whether it is a path you want to follow and emulate.

This is especially important for CFA charterholders. We put so much effort into education and learning how to do due diligence and tear apart investments and understand risk and return. We should apply that same discipline to decisions about careers.

The other mistake I see people make is not checking out the reputation of the place they are going to work. Unfortunately, we've had the opportunity to work with some very difficult people, and what amazes me is that when staff finally leave, there are others more than willing to jump in without even a question as to why staff left. If they had just made two or three phone calls, they would have understood that they are walking into a furnace. Is that really where they want to be? But after they are there for a year, they are sort of trapped, and they think, "This is a nightmare. Why am I here?" Gosh, the writing was on the wall if you had checked it out.

Another big career mistake I've seen people make is knowing they have a skill and a passion but not choosing a job in an industry that allows that skill and passion to shine. It's important to know what your interests are and then get yourself going in that direction so that you don't feel stifled and bottlenecked. I would encourage people to always understand the industry and the growth pattern. Is the wind in the sails blowing that industry along, or are you going to be fighting uphill in a battle? If that industry is going to be shrinking and contracting, why dedicate yourself to it?

It's often hard to do—to be able to look that far ahead. But at least take the time and effort to choose the best direction to move.

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So, would it be fair for me to summarize almost everything that you've said in one simple statement: As much as possible, look for compatibility between your values, your interests, corporate culture, and skill sets required for the job and look for something that is compatible with who you are?

It's perhaps an oversimplification, but I think that is correct. You could be working in an industry—say, the chemical industry—and it may not be your favorite subject, but you may be doing it because you're an accountant and you love accounting; that may be OK. You can do that for a while, but you're right, I don't know if you would want to be in that particular field for your lifetime. You may find that you would much rather be doing accounting in an industry that you find more fulfilling and interesting.

If you had to start all over again, what would you do differently?

It's funny; I haven't thought of that question, what would I do differently?

I see people on TV and think they found a really cool career. I wish I had that job. But I can't go there; it's too late. Jimmy Buffett already has that all wrapped up, and I can't sing that well.

Are there any other questions that I should ask you that you think would be important for young professionals?

What was the most motivating and demotivating job assignment you've ever had? I don't even want to think about that. It would take a while to go there.

I guess the other question I would be happy to answer is, what does success mean to you? As I think of that, I'm getting on with my life, and I can see retirement way out there in the future. Particularly, as with our private equity firm, we've been talking about succession for years, and it's clear that those managers are just going to die in their chairs; they are going to be hauled out of the office by the paramedics. So, how do you measure success in your career? It's one thing when you're CIO or you're at the top of an investment organization, but it's another thing when you're a portfolio manager and you really just want to run that portfolio forever.

It's great to make money and to improve the lives of clients or, in our case, to sustain the future for California educators; that gives you a lot of pleasure. But I think at the end of the day, we are going to spend 8 to 10 to 12 hours a day working with other people. It's changing the lives and improving the quality of life of the people around us. As we've all said, when someone is on their deathbed, they don't look back and think, "Gee, I wish I spent more time in the office." It's about family. That's why work–life balance is so important to me.

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But I also think, by virtue of what is demanded of us in the finance business, we spend a ton of time around our coworkers. At least where I am right now in my life, I think that building into other people is important. It would be nice to retire and see the people that worked for us being superstars in our industry and being able to point to them and think, "I helped develop that person and pushed them along their way." Because what we do is so intangible. The people part is tangible, and it's rewarding to see those people succeed and take off. It's nice to win awards and receive the respect of your peers, which many of us think of as a form of respect. I'm kind of saddened by how Wall Street compensation has become such a sole focus of success, particularly with the extreme compensation in lower Manhattan. I realize I'm well paid—I should not be picking on that—but there is well paid and then there is extreme compensation, to the point that it is obviously creating social problems.

I think that we need to look at success in our industry as what we add to society. What did we add to the whole—not just whether we beat last quarter's numbers? Are we sustaining things for the future? Are we investing in sustainable things? Are we building for the people behind us so that the next generation comes up and runs these funds or runs Wall Street? Do we want the ethics to improve or deteriorate? It's clearly going to be more global. You don't need to be in lower Manhattan to run money. You don't have to be in lower Manhattan to trade stocks anymore. I think it's fascinating to go visit the Korean Stock Exchange. You can see the indentations on the floor where the trade stations used to be, but it's basically a museum.

It's shocking. I walked onto the floor of the New York Stock Exchange about three months ago and was just amazed at the change just in the last five years. Compared with 10–15 years ago, the change was incredible. That's where our industry is heading. People can run money anywhere; the pockets of large pools of money are not going to just be in the United States, even in North America. They are going to be all over the globe. It's going to be a more global and multifaceted business, and therefore, even though it's getting bigger and bigger, it's more intangible.

I think that brings it back to not just delivering to clients but also to building into the people you work with. I'm worried our industry is going to get a poorer and poorer reputation as being greedy and just about money. I don't think ultimately the people who come into our industry are leaning that way. Money is a part of the measure of a person's worth and success, but there is so much more than that. We, as a profession, have to place a higher emphasis and value on ethics and morals.

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